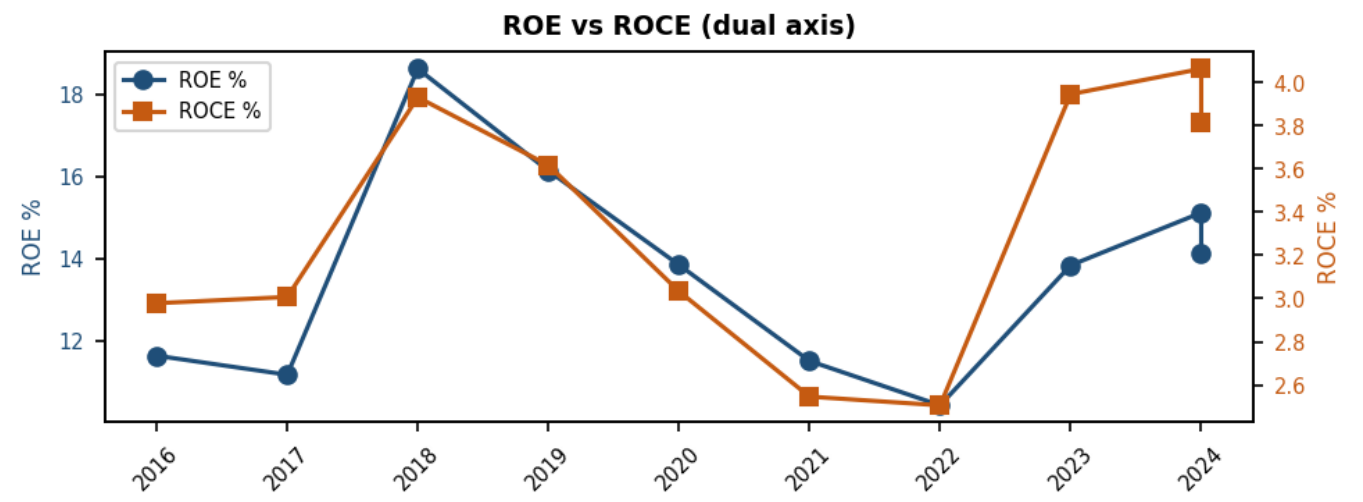
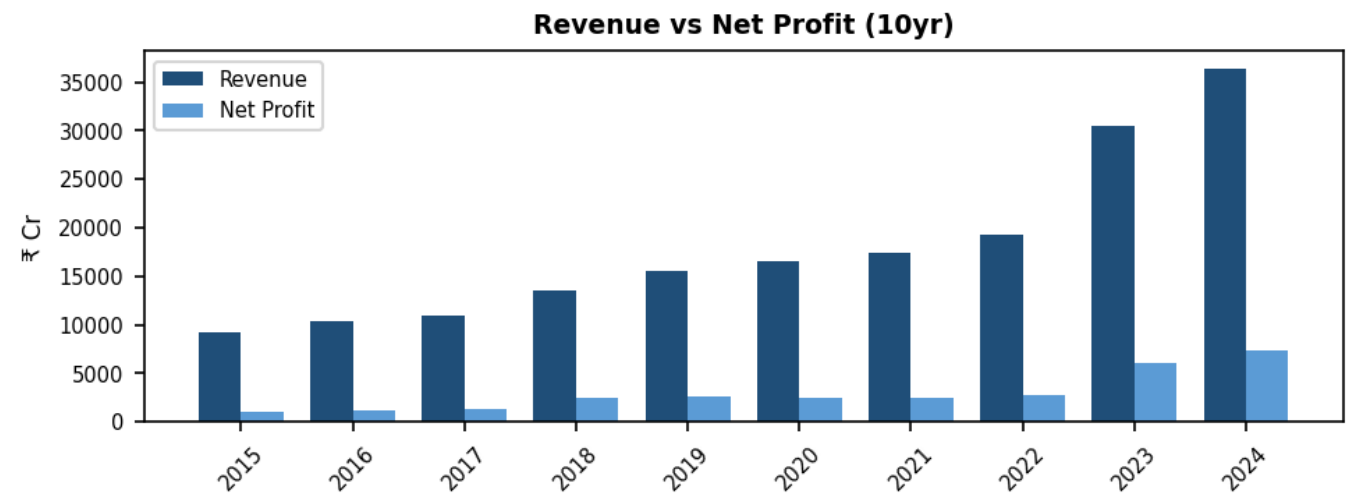


# Shriram Finance Ltd

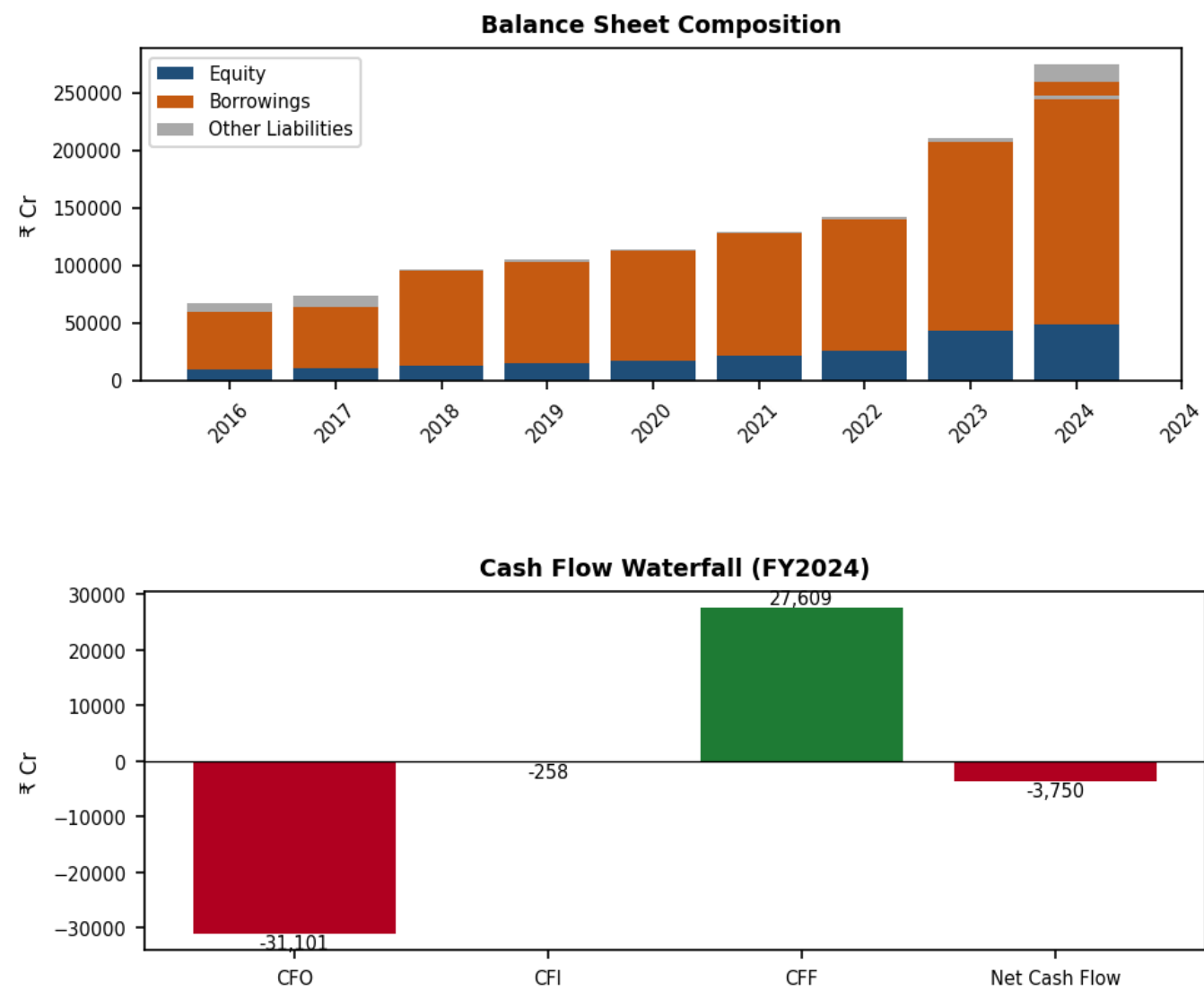
NSE: SHRIRAMFIN | Financials

|               |            |                  |
|---------------|------------|------------------|
| ROE           | ROCE       | OPM (Latest)     |
| 15.1%         | 11.3%      | 29.0%            |
| Debt / Equity | Market Cap | Revenue (Latest) |
| 3.99          | 868,933 Cr | 36,388 Cr        |



# Shriram Finance Ltd

NSE: SHRIRAMFIN | Cash Flow & Qualitative Summary



## Pros

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Return on equity improving for 3 consecutive years shows strengthening business quality
- + Revenue growing slower than profits shows improving operating leverage and scale benefits

## Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Pattern: Growth Funded by Debt